

UDAAN 2.0

BREAKING BIHAR'S INDUSTRIAL STAGNATION

Unleashing District-level Agro-manufacturing & Advanced iNdustrialisation

Bihar's stagnation is an execution gap, not a policy gap. For the first time in two decades the assets, the money and the mandate are aligned – UDAAN 2.0 wires proven models onto Bihar's own delivery rails to convert approved paper into operating factories within 24 months.

7%

mfg share of GSDP – vs 17% nationally

~50 MN

out-migrants – 2x since 2005

24 MO

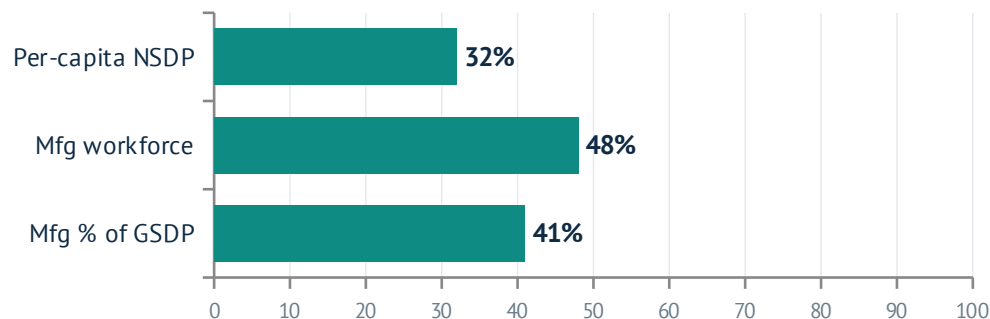
paper-to-factory delivery window

THE GROWTH-DEVELOPMENT PARADOX — AND WHY NOW

BIHAR vs THE NATIONAL BENCHMARK

Bihar's level as % of India

INDIA = 100



8.6% **real growth**

Among India's fastest (vs 6.5% national) —
GSDP Rs 9,91,997 cr in 2024-25

31.7% **of national**

Per-capita NSDP just Rs 36,342 vs ~Rs
1,14,500 — fast growth, stalled development

Industry never arrived. Registered factories **3,623 (FY16) → 3,307 (FY23)** · FDI Oct-2019–
Dec-2024 only **\$215.76 Mn** · mfg workforce **5.7% vs ~12%**

The cost is human export: ~50 Mn Biharis out-migrate (2x since 2005); remittances are the primary income for half of all rural households.

WHY NOW — ASSETS, MONEY & MANDATE ARE ALIGNED FOR THE FIRST TIME IN TWO DECADES



Stable 5-yr mandate

Nov 2025, 200+/243 — jobs + women's
livelihoods



Rs 7,500-cr MMR

Rs 10,000 seed to ~1 cr+ women; up to
Rs 2 L follow-on



National Makhana Board

Rs 476-cr scheme; Bihar = ~90% of
India's makhana



Anchor infra funded

NIFTEM, AKIC-Gaya, Purnea+Bihta
airports, Pirpainti



BIPPP-2025 expires Mar-26

Policy window open — a successor is
needed now

WHO THIS SERVES:



Migrant / returnee ~50
Mn



JEEViKA Didi ~1.4 cr



Marginal farmer 0.39 ha



ITI youth 58% <30



Skilled diaspora



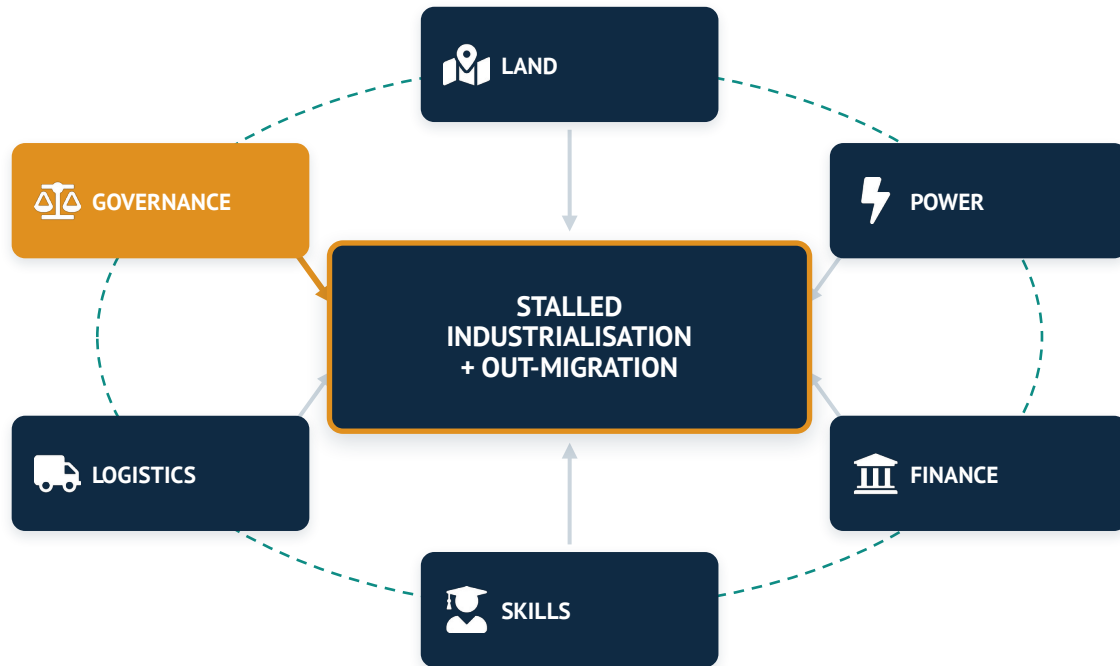
Weaver / artisan (GI)



MSME 53.5% C-D

THE SYSTEM — SIX BOTTLENECKS THAT FEED EACH OTHER

A REINFORCING SYSTEM — NOT SIX SEPARATE PROBLEMS



THE HARD-INFRASTRUCTURE GAPS



LAND

18–36-month conversion vs 3–6 in Gujarat / TN

Fragmented 0.39-ha holdings · flood-prone · acquisition unreformed

Hurts: investor + job-seeker



POWER

Captive backup adds +15–20% to unit cost

Electrification ≠ 24×7 industrial supply for factories

Hurts: MSMEs



LOGISTICS

30–40% post-harvest loss · EDFC under-used

Produce rots before it reaches a processor or market

Hurts: marginal farmer

TAKEAWAY These physical gaps starve greenfield projects and rot produce before market — capital and labour leave together.

THE INSTITUTIONAL CONSTRAINTS — AND THE FIX MAP

THE HUMAN & INSTITUTIONAL GAPS

SKILLS

58% under 30 — but 80% of out-migrants are low-skilled

Weak ITIs · very low female labour-force participation

Hurts: youth + women

FINANCE

53.5% credit-deposit ratio — banks export Bihar's deposits

MSME credit gap of Rs 1.5–2 lakh cr

Hurts: MSME + scaling Didi

GOVERNANCE META

Rs 6,800 bn approved proposals un-operationalised

No true single window · 9.2%-of-GSDP fiscal deficit (FY24)

The meta-constraint — hurts everyone

DIAGNOSIS: an execution-architecture failure, not a deficit of policy intent.

THE BRIDGE — EACH BOTTLENECK MAPS TO A UDAAN PILLAR

BOTTLENECK	WHO IT HURTS	FIXED BY
Land + flood risk	Investor · job-seeker	P1 Land & plug-and-play sheds
Power reliability	MSMEs	P1 Ready-shed power + solar feeder
Logistics + farm value-loss	Marginal farmer	P2/P3 FPO units + OBOP cold-chain/CFCs
Skilled-labour paradox	Youth · women	P4 Skills-to-job pipeline
Shallow finance	MSME · scaling Didi	P5 Guarantee fund + 65% C-D
Governance (meta)	Everyone	P5 Statutory single window + activation office

→ The five solution slides that follow take these pillars one at a time.

Source: Bihar Economic Survey 2025-26; RBI / SLBC Bihar (C-D ratio); CAG / state finance accounts (fiscal deficit); BIPPP-2025; Invest India approved-investment pipeline.

SOLUTION 1 – LAND & PLUG-AND-PLAY READINESS

P1 LAND & SHEDS

P2 WOMEN + RETURNEE

P3 OBOP CLUSTERS

P4 SKILLS-TO-JOB

P5 FINANCE + GOV

GOVERNING THOUGHT Bihar's stagnation is an execution gap, not a policy gap. The assets, money and mandate are finally aligned – UDAAN 2.0 wires proven models onto Bihar's own delivery rails to turn approved paper into operating factories in 24 months.

**AUDIENCE SERVED**

Local job-seekers + investors

**PROVEN MODEL BORROWED**

Sri City / Tamil Nadu ready-park + anchor model

**LIVE DELIVERY RAIL**

BIADA + 10 new parks + AKIC-Gaya

1

MONTHS 1–6
IDENTIFY / LAUNCH

- Designate 5 Priority Industrial Districts: Gaya, Muzaffarpur, Darbhanga, Bhagalpur, Begusarai
- 500–1,000 acres each, govt land first
- 90-day land-allotment SLA

2

MONTHS 7–18
BUILD / COMMISSION

- Build plug-and-play sheds: power, water, ETP, solar feeder
- 10 cold stores at production clusters
- Stand up 2 Mega Food Parks

3

MONTHS 19–24
OPERATIONALISE / SCALE

- Reach 60% shed occupancy
- Land 1 anchor tenant per park
- Captive solar live across parks

**24-MONTH TARGET****60% SHED OCCUPANCY + 1 ANCHOR PER PARK****SECTOR LEVER**

Anchors light engineering & electronics – AKIC-Gaya PCB/EMS + defence corridor; wages 30–40% below Mumbai/Chennai.

SOLUTION 2 – WOMEN-LED & RETURNEE ENTERPRISE ENGINE

P1 LAND & SHEDS

P2 WOMEN + RETURNEE

P3 OBOP CLUSTERS

P4 SKILLS-TO-JOB

P5 FINANCE + GOV



AUDIENCE SERVED

1.4 cr JEEViKA women + ~50 Mn migrants



PROVEN MODEL BORROWED

Amul + SEWA / Lijjat + Kerala NORKA



LIVE DELIVERY RAIL

JEEViKA + MMRY + Makhana Board FPOs + new Returnee Mission

1

MONTHS 1–6
IDENTIFY / LAUNCH

- Form 200+ JEEViKA producer groups
- Launch a Migrant & Returnee Registry
- Map returnee skills to anchor demand

2

MONTHS 7–18
BUILD / COMMISSION

- MMRY follow-on credit up to Rs 2 lakh
- 'Homecoming' loan for returnee founders
- Creches + safe transport for women lines

3

MONTHS 19–24
OPERATIONALISE / SCALE

- Commission FPO-owned processing units
- Scale Lakhpatri Didi enterprises
- Wage-parity + owner tracks to retain returnees



24-MONTH TARGET

1 LAKH LAKHPATRI DIDI + 10,000 RETURNEE UNITS

SECTOR LEVER

Agro-processing – 8–12 jobs per Rs 1 cr, 60–70% female; makhana processed in-state = 3–4x the jobs of raw.

SOLUTION 3 – DISTRIBUTED CLUSTER ACTIVATION (OBOP)

P1 LAND & SHEDS

P2 WOMEN + RETURNEE

P3 OBOP CLUSTERS

P4 SKILLS-TO-JOB

P5 FINANCE + GOV



AUDIENCE SERVED

Weavers, artisans + district MSMEs



PROVEN MODEL BORROWED

UP ODOP + Tirupur RMG + Sialkot CFCs



LIVE DELIVERY RAIL

OBOP + District Industries Centres

1

MONTHS 1–6
IDENTIFY / LAUNCH

- One product per block: Bhagalpur silk, Madhubani, footwear
- Design Common Facility Centres (CFCs)
- Map cluster demand + buyers

2

MONTHS 7–18
BUILD / COMMISSION

- Commission CFCs on PPP
- Secure GI tags for cluster products
- Onboard clusters to ONDC

3

MONTHS 19–24
OPERATIONALISE / SCALE

- Activate 15–20 clusters with live orders
- Link clusters to OBOP marketing
- Aggregate exports via district hubs



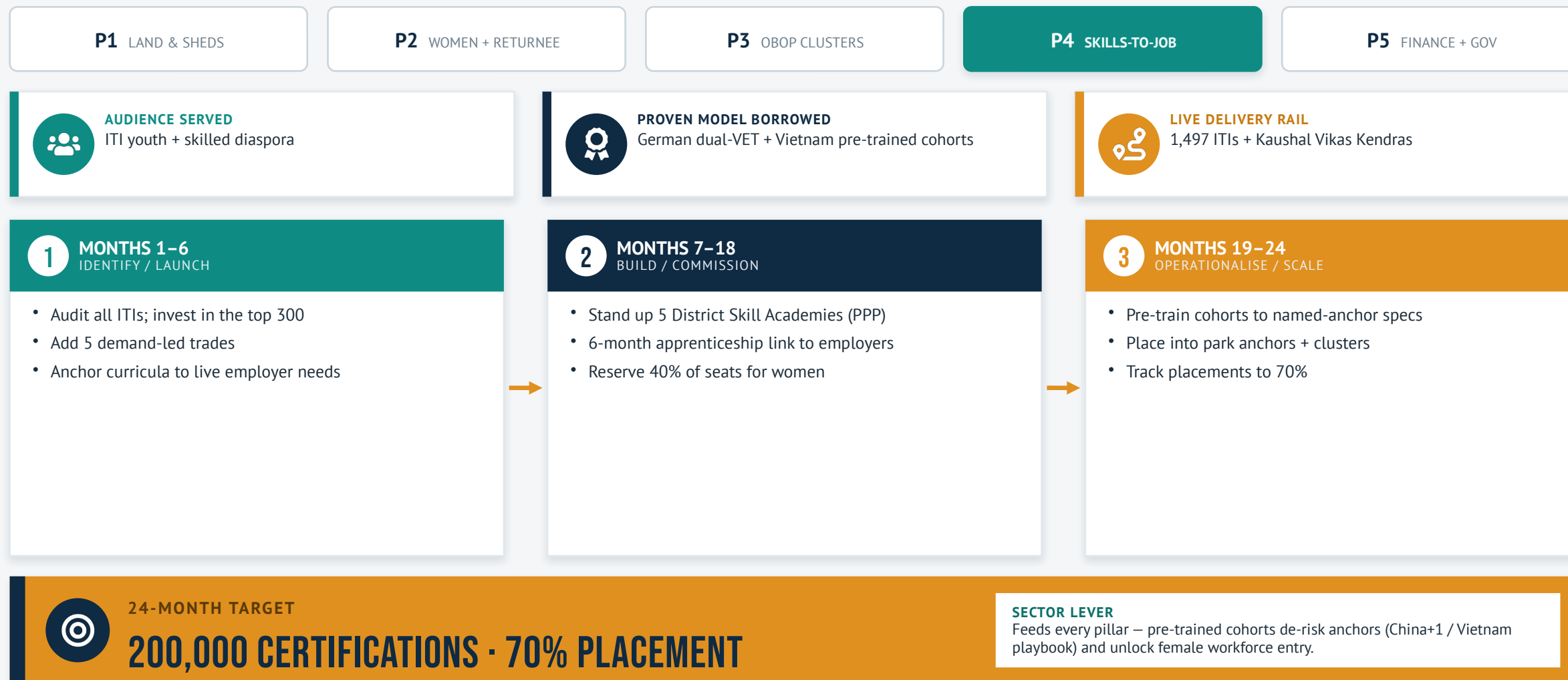
24-MONTH TARGET

15–20 OBOP CLUSTERS WITH LIVE ORDERS

SECTOR LEVER

Textiles / apparel / handloom – 50–80 jobs per Rs 1 cr (Bhagalpuri silk GI); leather & footwear 50,000–100,000 jobs in 24 months.

SOLUTION 4 – SKILLS-TO-JOB PIPELINE



SOLUTION 5 — FINANCE & GOVERNANCE ACCELERATION

P1 LAND & SHEDS

P2 WOMEN + RETURNEE

P3 OBOP CLUSTERS

P4 SKILLS-TO-JOB

P5 FINANCE + GOV

**AUDIENCE SERVED**
MSMEs + investors**PROVEN MODEL BORROWED**
Telangana TS-iPASS + CGTMSE / SIDBI**LIVE DELIVERY RAIL**
Statutory single window + Credit Guarantee Fund**1 MONTHS 1–6**
IDENTIFY / LAUNCH

- Legislate a statutory single window: 45/90-day deemed clearance + public dashboard
- Seed a Rs 500-cr MSME Credit Guarantee Fund (20% first-loss → ~5x lending)

2 MONTHS 7–18
BUILD / COMMISSION

- Secure a 65% C-D-ratio commitment from banks
- Launch a Rs 1,000-cr Bihar Industrial Growth Fund

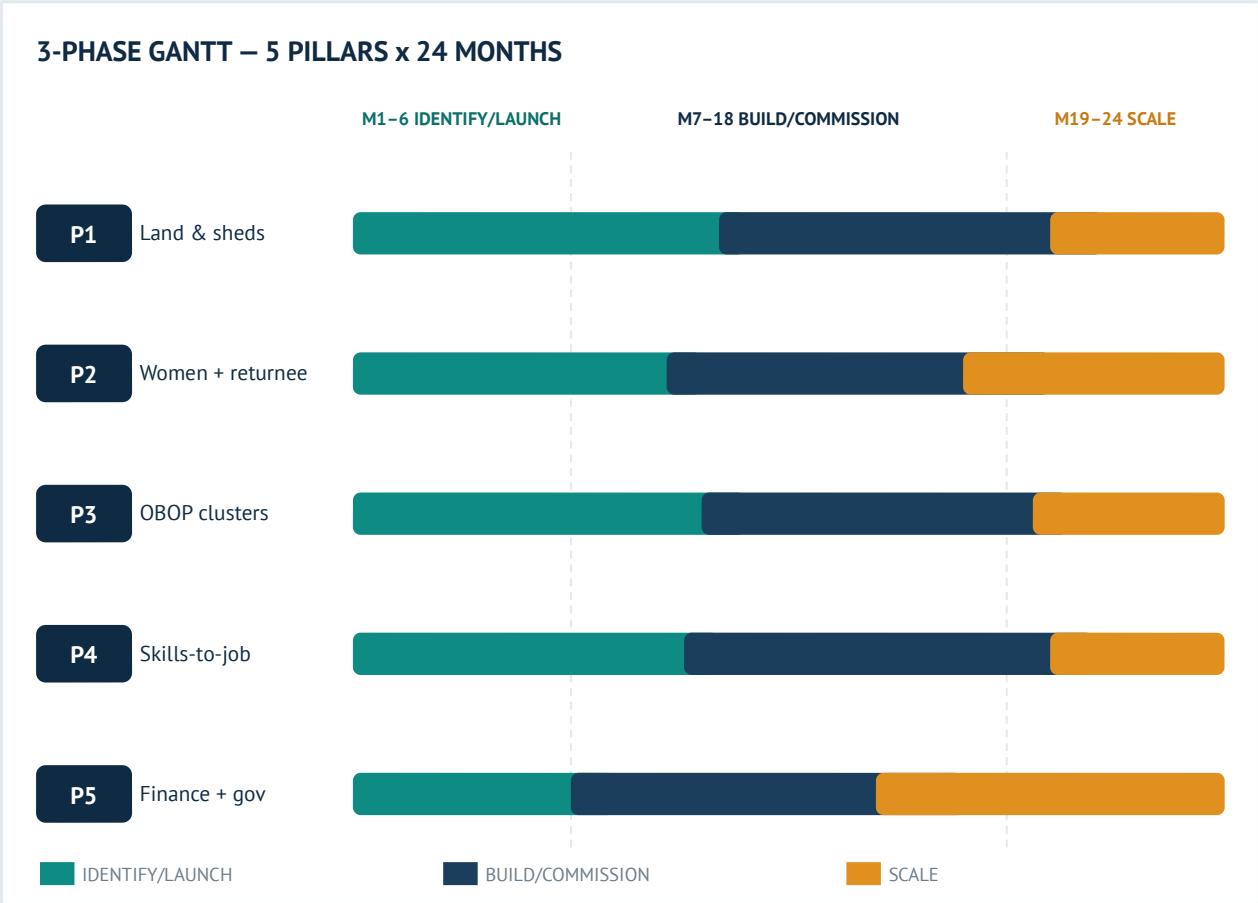
3 MONTHS 19–24
OPERATIONALISE / SCALE

- District Industrial Task Forces under DMs
- CMO Investment Activation Office runs 60-day health-checks on the Rs 6,800-bn pipeline

**24-MONTH TARGET****45/90-DAY SINGLE-WINDOW SLA + 65% C-D RATIO****SECTOR LEVER**

The meta-fix — unblocks the Rs 6,800-bn stalled pipeline and closes the Rs 1.5–2 lakh-cr MSME credit gap.

EXECUTION ROADMAP + KPI DASHBOARD

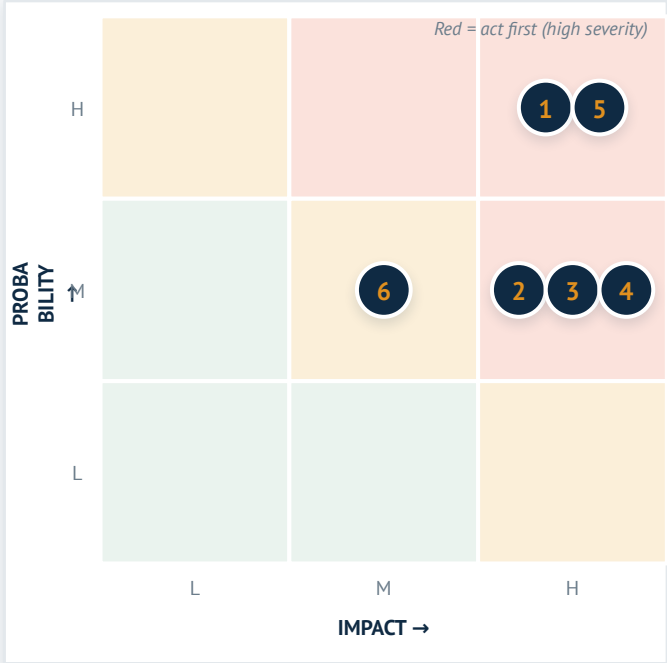


KPI DASHBOARD – BASELINE → M12 → M24

METRIC	BASE '25	M12	M24
Registered factories	3,307	3,600+	4,200+
Private investment / yr	\$216 Mn*	\$150 Mn	\$300 Mn
Mfg % of GSDP	~7%	8.5%	11%
Direct industrial jobs	—	75,000	2,50,000
Lakhpati Didi enterprises	seeded	40,000	1,00,000
Returnee-led enterprises	0	3,000	10,000
Women in industrial workforce	very low	+30,000	+80,000
FPO / OBOP clusters	few	8	15–20
Credit-deposit ratio	53.5%	58%	65%
MSME approval time	18–36 mo	60 days	45 days
ITI placement	<30%	50%	70%

* baseline private investment is the \$215.76 Mn total recorded across Oct-2019–Dec-2024 (≈ 5 years).

RISKS, MITIGATIONS & REFERENCES



RISK REGISTER – PROBABILITY / IMPACT + MITIGATION

1	Flood disruption	H / H	Elevated non-flood sites · flood insurance · raised plinths · Kosi-Mechi alignment
2	Elite / caste capture	M / H	EBC / Mahadalit / landless quotas · social audits · public beneficiary lists
3	Women's mobility / safety	M / H	Units near villages · creches · women-only production lines
4	Returnee re-migration	M / H	Wage parity + housing / childcare + owner tracks
5	Land delay / litigation	H / H	Govt land first · willing-seller · legal fast-track
6	Banking inertia on C-D	M / M	State-deposit pressure · RBI engagement · guarantee de-risking

REFERENCES

1. Bihar Economic Survey 2025-26 (GSDP, per-capita, factories, ITIs, mfg share).

2. ECI Bihar 2025 (mandate / seat share).

3. PIB – MMRV, JEEViKA Nidhi, National Makhana Board (Rs 476.03-cr scheme).

4. BIPPP-2025 cabinet approval; Union Budget 2025-26 (Makhana Board, NIFTEM, airports).

5. IBEF / Invest India – AKIC-Gaya, EDFC, FDI inflow.

6. Census 2011 / Journal of Migration Affairs (out-migration, remittances).
7. RBI / SLBC Bihar – credit-deposit ratio; SIDBI / CGTMSE – guarantee model.

8. Telangana TS-iPASS (statutory single window).

9. UP ODOP; Tirupur & Bangladesh RMG; Sialkot CFCs.

10. Kerala NORKA (migrant & returnee mission).

11. Amul / GCMMF; SEWA / Lijjat (producer-group models).

12. German dual-VET; Vietnam China+1 pre-training.

AI-usage disclosure: Drafting and layout were AI-assisted. Every figure was human-verified against the cited public sources above; no data was generated by the model.